

Fearnleys Dry Bulk Weekly

Aug 21, 2024

Bernhard Baardson

Capesize/Newcastlemax

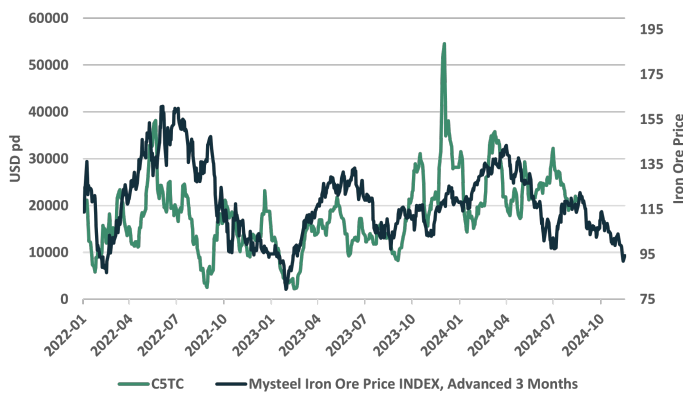
Last week, we wrote the following:

The last week, data from China have worsened further. Iron ore prices, steel prices and imported iron ore consumption continued to fall. The imported iron ore consumption lead now suggest the month-on-month change of the BCI could be at negative 40% by the end of September. Brazilian iron ore shipments are past the seasonal peak, Bauxite shipments and Indian coal imports are in a seasonal lull.

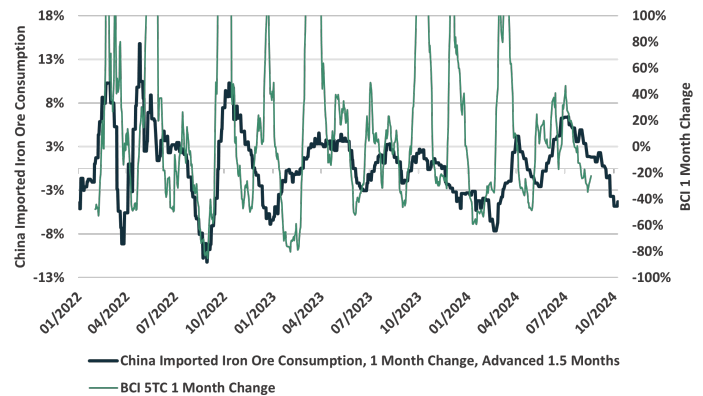
The market is proving more resilient than what a host of indicators suggest. However, we still see a drop over the next month as highly likely.

Beyond that, we expect a solid Q4 market, supported by seasonal factors and a potential rebound in China's iron and steel sector.

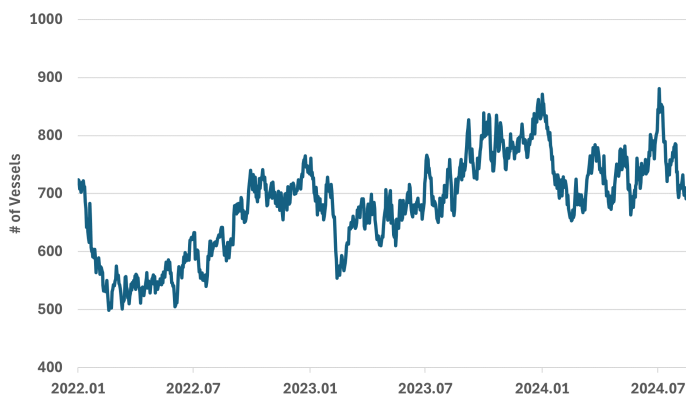
Iron Ore Price Lead vs Capesize 5TC



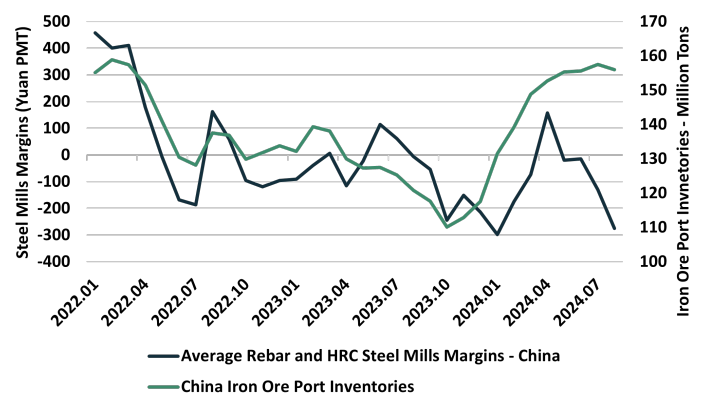
China Imported Iron Ore Consumption Lead vs Capesize 5TC



Capes/Newcs Heading to China



China Port Inventories vs Steel Mills Profit Margins



Panamax/Kamsarmax

Last week, we wrote the following:

Our view remains that earnings will average higher for the remainder of this year than last year (15.371 USD pd). A rally could materialize next month, driven by US grains, increased coal demand from India, and increased Corn shipments from Brazil. China remains weak, with all reports on the coal import market being quiet. Renewed import demand for coal is likely to come only if there is a rebound in the country's steel sector. The Chinese central bank has increased liquidity noticeably in the last

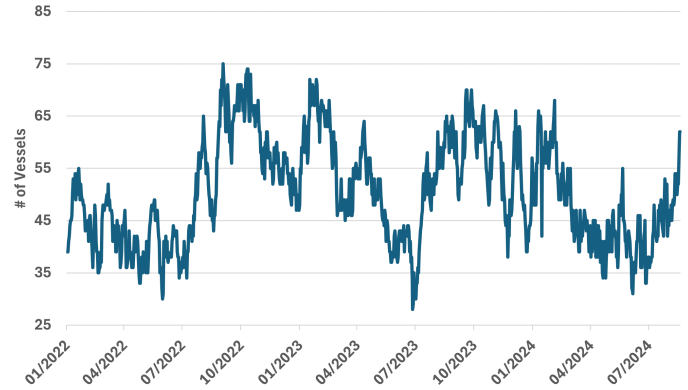
months, which could mean a rebound in Q4.

The US grain season has not yet started, though it should be imminent. Canadian grain exports have started to increase, however. This year, the IGC expects higher exports than last year from Canada and the US. That, and a seasonal upturn in India's coal demand, could mean the market will rally next month.

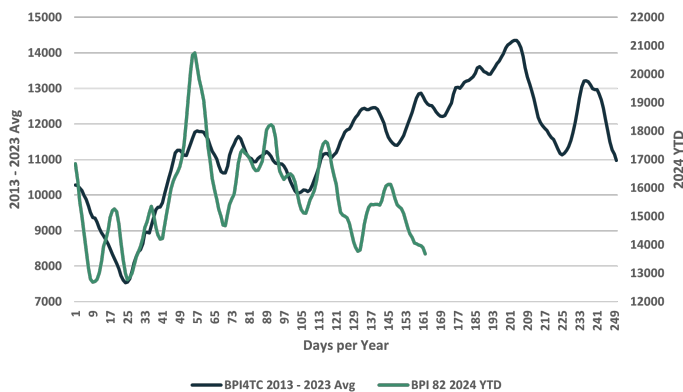
Panamax / Kamsarmax Heading to the US



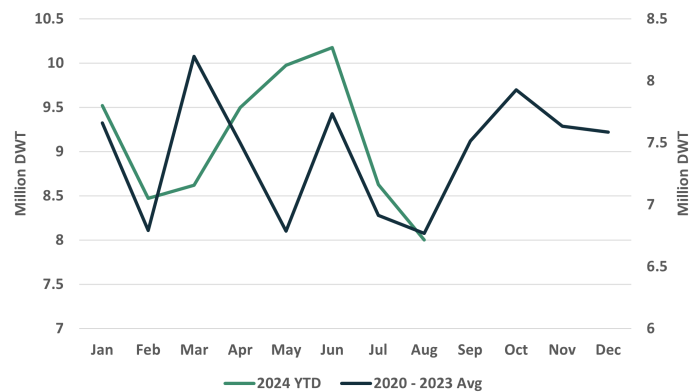
Panamax / Kamsarmax Heading to Canada



Panamax/Kamsarmax Seasonal Average Market Movement



Panamax / Kamsarmax India Coal Discharges Seasonality



Supramax/Ultramax

Two weeks ago, we wrote the following:

"Interesting weeks ahead for the markets. Average seasonality points to this week being a bottom, with a rally towards year-to-date highs to follow.

So far this year, the ups and downs of the market has perfectly matched the average between 2016 - 2023.

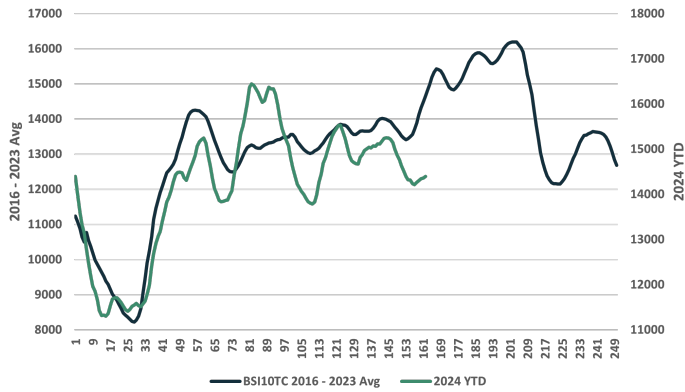
At the moment, we are not seeing any clear signs that a rally is about to begin, however. The USG grain season could be a trigger, and otherwise fundamentals are quite firm, with overall demand growth outpacing supply growth.

Several macro indicators are suggesting that the positive year-on-year change of Baltic Indices will continue until the end of the year. This does at least suggest market levels will not go much lower than where it is currently, as per the lower left chart."

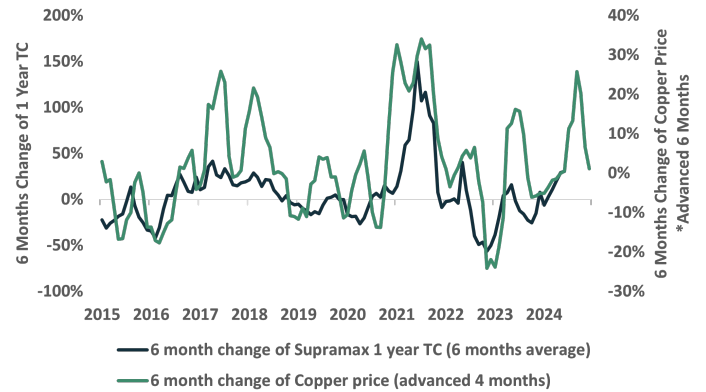
The market is creeping upwards, so thus far it is following average seasonality. The imminent grain export season from the US and Canada along with increased Indian coal imports are the main factors that could cause a further rally.



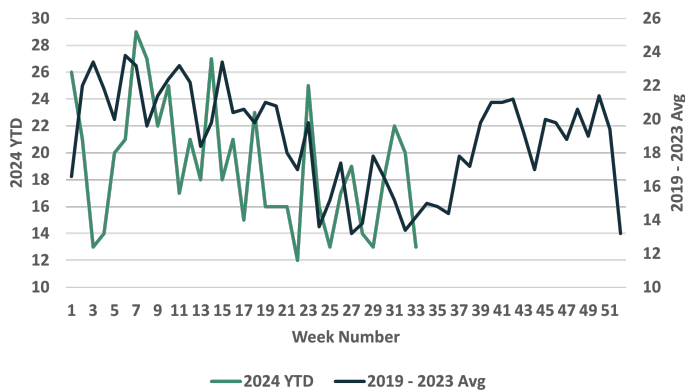
Supramax Seasonal Market Movement



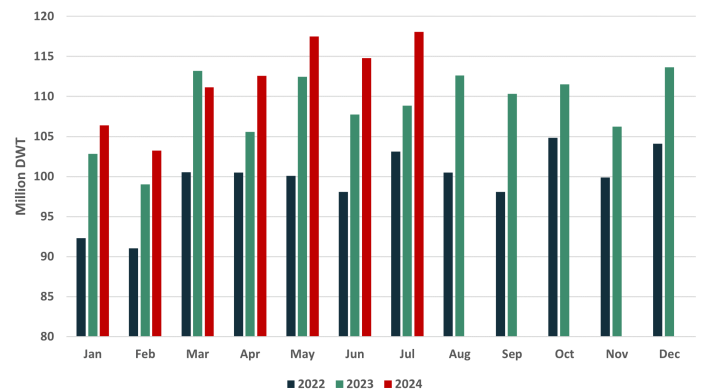
Copper Price Lead vs Supramax 1 Year TC



Supramax / Ultramax Weekly Grain Shipments - Canada & US



Supramax / Ultramax Monthly Total Loadings - 2022, 2023 and 2024





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